

over, you might want to get another insurance policy—once you evaluate your needs—for another term, and so the process continues.

Temporary coverage, as its name suggests, is great for temporary needs. For example, if you have just purchased a house and financed it with a large mortgage, you might want some temporary insurance to cover the liability in case something unfortunate happens to you over the life of the mortgage. Temporary insurance makes sense for young couples who have growing children, or if the family would face a serious financial crisis if something were to happen to the primary breadwinner. Remember, the value of your human capital is considerable earlier in your life, and you want to protect it. I envision the young couple having a substantial amount of term life insurance while the children are young, perhaps eight to ten times their annual salaries, as per the two approaches I previously described, the income approach or the expense approach. But regardless of whether you take the income or the expense approach in Figure 2.3, your insurance needs will change over time. As you move along the timeline in Figure 2.1, the value of your human capital declines. Likewise, family expenses will decline as children grow up and leave the nest. Of course, there are exceptions to these rules, such as more responsibilities, new dependents, and perhaps even a large jump in the value of your human capital. However, as you age and renew your term insurance, the premiums will increase. Why? Well, the probability of dying increases, so the insurance company must charge more to cover this risk. In most cases, there is no justification for buying more and more life insurance as you age.

When discussing replacement of human capital, I am not only referring to “official” or explicit income. Stay-at-home parents, homemakers, and caregivers provide valuable services to the family—services that are costly to replace. I learned the value of unofficial incomes. Some time ago, my wife, Edna, took a two-day vacation and left me to care for my three daughters, whose ages at the time ranged from one to six. I quickly realized how much work the kids could be. Getting them bathed, dressed, fed, and to school, all with no help—what a job! When Edna came home, one of the first thing I did was to contact my insurance agent and buy some more life insurance on my wife, making me the beneficiary.